Q.1 Which type of "contribution to key factor ratio" should be selected by us?

A. The highest

B. Any one

C. The lowest

D. The moderate

Q.2 In absorption costing; stock valuation is based on full_____ .

A. prime cost

B. production cost

C. selling cost

D. conversion cost

Q.3 Which of the given statement is NOT accurate for Margin of Safety?

A. Higher the margin of safety lowers the security

B. It can be calculated by subtracting the breakeven sales from selected sales

C. A good margin of safety would usually indicate relatively low fixed overhead

D. It is a cushion if there is reduction in sales

Q.4 Rs. 1.25 million spent to purchase a plant for factory can be classified as _____ cost.

A. controllable

B. administrative

C. fixed

D. historical

Q.5 Following information is extracted from the books of ABC Company. Particular Rs. Sale price 800 per unit Variable cost 550 per unit Fixed cost 50,000 Management would like to earn a target profit of Rs. 150,650 but also increase the advertising budget by Rs. 100,000 to stimulate sales. What will be contribution margin ratio?

A. 0.4125

B. 0.3125

C. 0.1125

D. 0.2025

Q.6 How Operating leverage factor is calculated?

A. Contribution margin ÷ Net income

B. None of the given options

C. Contribution margin + Net income

D. Contribution margin x Net income

Q.7 Management accounting provides information for all of the following EXCEPT:

A. pricing of the roduct

B. external reporting

C. effeicient use of entity's resources

D. management effeciency analysis

Q.8 Product pricing method in marginal costing is based on _____ .

A. selling cost

B. variable cost

C. production cost

D. conversion cost

Q.9 Financial Accounting differs from managerial accounting in such a way that financial accounting is:

A. Not required and unregulated

B. More oriented toward the future

C. Primarily concerned with external financial reporting

D. Heavily involved with decision analysis and implementation of decisions

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Q.10 Activity Based costing is suitable if:

A. there is no diversity in the product range.

B. products use same amount of the direct labor costs.

C. production overheads are higher in relation to direct cost.

D. direct costs are higher in proportion to production overheads.
